GLOBAL INTELLIGENCE

Evening Update

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What Changed Today

- **US midterms under way:** Polls began closing at 00:00 Italy time, starting in Indiana and Kentucky. All 435 House seats and about a third of the Senate are at stake. No results are in yet. An AP poll cited by ANSA says six in ten Americans disapprove of Trump's performance.
- **Trump says US military aid to Israel will end this year:** He announced on election day that roughly $4bn a year would stop at the end of 2026, while arms sales would continue. The current memorandum of understanding runs to 2028 and Congress appropriates the money, so the mechanics are unclear. Israeli defence officials were reportedly surprised.
- **Russia hits Ukraine's grid and civilians before Abu Dhabi talks:** The FT reports power plants and substations hit in nine regions. BBC reports at least 38 killed in 24 hours, including at an aid centre, a hospice and a hospital. Merz urged Moscow to engage with the talks.
- **Merz attacks the Putin G20 invitation:** He called the US move to invite Putin to the G20 "completely unacceptable" and said Europe needs a seat at the table. It adds friction between Berlin and Washington as Trump revives Ukraine diplomacy.
- **EU sets a more cautious path for Ukraine:** Politico says Brussels told Kyiv to speed up reforms and gave Moldova a more ambitious membership roadmap than Ukraine.
- **Supermarket freezer hacks spread across Europe:** BBC reports problems in 10 countries, including Italy, plus a hit on the UK meat industry. Retailers have had to discard food.
- **Binance admits a $6.3bn theft:** The exchange says North Korean-style fake recruitment interviews led to the hack. Pyongyang denies it.
- **Markets:** Brent slipped to about $104 and the BTP-Bund spread tightened to 113 basis points. The dollar rose most in a month on higher US yields. AMD's outlook eased fears about AI spending.

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Europe & Italy

Ukraine's EU path gets a cautious roadmap while Merz demands a seat at the table

Politico reports that the European Commission told Ukraine to hasten reforms and set out a more cautious route to membership than for Moldova. Earlier reporting by Ukrainska Pravda said the roadmaps would carry no fixed dates for concluding negotiations. Separately, Merz said Europe cannot be left out as Trump restarts Ukraine talks. He called the invitation to Putin to attend the G20 "completely unacceptable" and said Ukraine's fate must not be discussed without Ukraine.

Why it matters: Ukraine has been a candidate since 2022, but Hungary's opposition and the cost of enlarging have slowed progress. A roadmap without deadlines gives Kyiv a process but no promise.

For Europe & Italy: Rome backs enlargement in principle but wants the defence and reconstruction costs shared out.

Watch: US-Russia-Ukraine talks in Abu Dhabi on 10-11 November, and whether Moscow turns up.

Freezer cyberattacks reach Italy

BBC reports supermarkets from Estonia and Sweden to Portugal and Italy saw fridge and freezer temperatures altered, forcing food to be thrown away. Ireland, Sweden and Belgium reported problems on Monday, and the UK meat industry was also hit. The wave follows an October attack on French supermarkets, which reports linked to refrigeration control systems from Danfoss. Italy's cybersecurity agency (ACN) called retailers to a meeting on Tuesday.

Why it matters: The attacks target industrial control systems in the physical food chain, not just data.

Watch: Any ACN guidance, and whether Italian cold-storage firms report further losses.

Gas bills rise as storage drains

Arera, the energy regulator, said the October gas bill for vulnerable customers rose 9.1% from September, citing market prices. Dutch TTF gas was back above €92/MWh. EU storage stands at 74.5%, Germany at 61% and Italy at 91%, as withdrawals begin. The Strait of Hormuz is still closed.

Why it matters: Low EU storage heading into winter keeps gas prices sensitive to any Iran news.

For Europe & Italy: Italy is better stocked than Germany, but it pays the same price in a connected market.

Mattarella calls for common EU defence

On the Armed Forces holiday President Mattarella urged an immediate common EU defence and a stronger NATO. He also said Italy "rejects war" and respects international law. France's armed forces minister said Paris is investing in naval power and its military ambition is "to be feared".

Other items

- **Spread:** The BTP-Bund spread closed at 113.2 basis points after opening at 115.5.
- **Ecobonus:** Il Sole 24 Ore reports a surprise cut to spending ceilings for windows, air conditioners and awnings, with a single combined cap.
- **Germany:** Handelsblatt says Berlin is preparing rules that could remove Huawei entirely from mobile networks. The SPD is preparing to resist a fuel price cap proposed by Economy Minister Reiche.
- **Aviation:** Lufthansa and Lisbon signed its entry into TAP, with a focus on Latin American routes.

Sources: Politico Europe, Politico Europe, BBC, ANSA, ANSA, Handelsblatt

World

US midterms: polls close with the cost of living and the Iran war in focus

Voting ran through Tuesday, with tens of millions of early ballots already cast. Bloomberg says voters cite living costs, fuel prices that spiked after the Iran war began, and job worries linked to AI. ANSA reported the first polls closing in Indiana and Kentucky at 00:00 Italy time. No results were available at writing.

Why it matters: A Democratic House would give Congress subpoena power and a lever over war funding and foreign policy.

Watch: Early House calls overnight, and whether control of the Senate is decided or left open.

Trump says military aid to Israel ends after 2026

Trump said the US will stop about $4bn a year in military aid to Israel at the end of the year. He said Israel could still buy US weapons and that Netanyahu had proposed the idea. Euronews and Times of Israel report he gave no details. The 2016 aid memorandum provides $3.8bn a year to 2028, and Congress controls the money. An Atlantic Council analyst quoted by one outlet expects a phase-out during 2027. Opposition leader Gadi Eisenkot called for Netanyahu to be replaced.

Why it matters: The aid has been a campaign issue on both sides of the US political divide. Missile-defence programmes funded under the same arrangement are hard to move to ordinary sales.

Russia and Ukraine: grid strikes and civilian deaths

The FT reports a massive Russian strike on energy infrastructure, with plants and substations hit in nine regions and Ukraine's air force struggling to intercept missiles and drones. BBC reports at least 38 killed in 24 hours and Zelensky warning that dozens more could be trapped under rubble. Russia has targeted Ukraine's grid every autumn in a war now in its fifth year. The US Air Force is also seeking industry bids to mass-produce the Extended Range Attack Munition (ERAM) cruise missile for Ukraine.

Watch: Whether Russia sends a delegation to Abu Dhabi on 10-11 November.

Middle East and Gulf

Oil traded on hopes and doubts over US-Iran talks. Hormuz stays closed in the ninth month of the war. A War on the Rocks interview argues the Houthis' Red Sea attacks have grown more effective, and the group's strikes have already pushed back the Asian Cup in Saudi Arabia.

Latin America and Africa

- **Brazil:** Economists raised rate and inflation forecasts through 2029 after Lula's shock re-election. The Bovespa fell 1.43% and the real is weaker.
- **Venezuela:** The interim government has begun to unwind a hate-speech law used to jail dissidents. Rubio urged the release of remaining political prisoners and elections that are "free, fair, and credible".
- **Paraguay:** Authorities seized Ueno Bank, which has ties to President Peña, over solvency problems.
- **Senegal:** Parliament rejected budget revisions, complicating talks for a new IMF programme.
- **South Africa:** Local elections today test the ANC, which faces voter anger over poor services.

Asia

India ordered next-generation corvettes worth $5.7bn from domestic yards. Hong Kong has abandoned more share listings than at any time since 2008, so its IPO boom is cooling.

Sources: Bloomberg, ANSA, Euronews, Times of Israel, FT, BBC, Defense News, Bloomberg, BBC, FT, Bloomberg, BBC, Defense News, Bloomberg

Markets Close

European stocks ended higher, per the closing data: Euro Stoxx 50 +0.73%, FTSE MIB +0.90% (49,948), DAX +0.63%, CAC 40 +0.98%, IBEX 35 +1.63% and FTSE 100 +0.29%. Some intraday reports showed Europe weaker earlier in the session, so the day was choppy ahead of the US vote.

On Wall Street the S&P 500 gained 0.36% and the Nasdaq 100 gained 0.68%. Both are still down on the week (-1.99% and -4.96%). The VIX is at 20.83, up about 19% on the week. AMD guided fourth-quarter revenue of $17bn, plus or minus 3%, above analyst estimates, which eased worries about AI spending. Meta raised $15bn in a dollar bond sale.

The US 10-year yield is about 4.95% and the 2-year about 4.75%. Bloomberg said the dollar had its biggest rise in a month on higher yields and solid data, though the dollar index closed only 0.14% higher at 101.89. EUR/USD is near 1.12 and USD/JPY at 158.54. In Italy the BTP-Bund spread tightened to 113.2 basis points.

Brent closed at $104.18 (-0.56%, -8.5% on the week) and WTI at $96.64. TTF gas is around €92/MWh. Gold fell 0.57% to $3,947 and copper fell 2.03%. Brazil's Bovespa fell 1.43% after Lula's re-election.

Tomorrow: The midterm result is the main risk for US yields, the dollar and defence and energy stocks. A split Congress could bring gridlock and affect deficit expectations. Oil and European gas stay tied to Iran headlines, and Hormuz is still shut. Brazilian assets, the real and Brazilian rate-sensitive stocks are exposed to the post-election sell-off. Chip and AI stocks will react to AMD's guidance and to the Nvidia China curbs. Italian banks are supported by Intesa's strong results.

Sources: Market data snapshot; Bloomberg, Bloomberg, ANSA

Technology, Defence & Space

AI financing and chips

Meta raised $15bn in a US dollar bond sale, drawing solid demand as investors grow sceptical about the scale of Big Tech's AI bets. AMD gave a fourth-quarter revenue forecast of $17bn, plus or minus 3%, above estimates, showing data-centre demand remains strong. FT says Nvidia has ordered data-centre clients to reduce their exposure to China. Hedge funds Marshall Wace and Millennium suffered losses in October's tech correction and bond turbulence. The Economist says China's AI stocks are struggling as the supply of new technology catches up with demand. Australian design firm Canva announced job cuts affecting about 22% of staff after growth slowed for the first time in a decade.

For Europe & Italy: Germany's reported plan to push Huawei out of mobile networks adds to pressure on European operators, which still use Chinese equipment.

Cyber

- **Binance:** The exchange says a "months-long campaign" led to the $6.3bn theft it found in October. An engineer was approached through a real job platform and invited to fake interviews. North Korea denies responsibility. FT calls it the biggest theft in history.
- **Freezers:** The cold-chain attacks have now reached 10 European countries.
- **Russia:** The Interior Ministry says it dismantled the VasyGrek cybercrime group's infrastructure with help from Kaspersky, and detained three suspects.

Defence

The US Air Force is asking industry for bids to mass-produce ERAM cruise missiles for Ukraine, after the earlier $2.1bn approval of 500 PAC-3 Patriot missiles. India placed a $5.7bn corvette order as part of a naval build-up that also includes French carrier-capable fighters and German submarines. France's armed forces minister said the French military ambition is "to be feared". Mattarella pressed for a common EU defence.

Space

Astronauts Joshua Kutryk and Anil Menon installed a new roll-out solar array on the International Space Station during the 29 October spacewalk. Czech firm Spacemanic and Belgium's Simera Sense are teaming up on a dual-use satellite solution, a sign of Europe's push for dual-use capability.

Sources: Bloomberg, Bloomberg, FT, FT, The Economist, Bloomberg, The Record, The Record, Defense News, Breaking Defense, NASA, SpaceNews

Overnight & Tomorrow

- **US midterm results:** Counting continues through the night Italy time. Watch the House, the Senate and any recount or legal disputes. Asian markets open with the first read.
- **Asia:** Seoul's KOSPI (+2.24% on the day) and the Nikkei (63,082) are the barometers for chip sentiment after AMD's outlook and the Nvidia China curbs. Hong Kong's weak IPO market is a second gauge for Chinese tech.
- **Iran:** Any sign of US-Iran talks moving or stalling will move Brent (about $104) and TTF (about €92).
- **Ukraine:** Damage to the grid and reports from Zelensky after the heavy strikes. Confirmation of who will attend Abu Dhabi on 10-11 November.

- **EU:** Eurozone governments must nominate ECB president candidates by Friday 6 November, and finance ministers discuss them on 9 November. The enlargement package was scheduled for 4 November, according to pre-release reports.
- **Italy:** The deadline for ex Ilva bids is 8 November, and the steelmakers' consortium may drop out. The ACN is expected to follow up on the cold-chain attacks.
- **South Africa:** Local election results begin to emerge.
- **Brazil:** Lula's re-election keeps rate and inflation expectations in focus.
- **Later:** Trump is due at the Apec summit in Shenzhen in about two weeks.

Sources: ANSA, Bloomberg, BBC

Markets Dashboard

Europe	Last	Day	Week
Euro Stoxx 50	6,176.06	+0.73%	+0.98%
FTSE MIB (Italy)	49,948.00	+0.90%	+1.55%
DAX (Germany)	25,981.09	+0.63%	+2.24%
CAC 40 (France)	8,047.69	+0.98%	+2.55%
IBEX 35 (Spain)	18,957.80	+1.63%	-0.40%
FTSE 100 (UK)	10,761.30	+0.29%	-0.06%

Americas	Last	Day	Week
S&P 500	7,568.92	+0.36%	-1.99%
Nasdaq 100	28,180.26	+0.68%	-4.96%
VIX (US volatility)	20.83	-1.51%	+18.89%
Bovespa (Brazil)	165,528.92	-1.43%	-6.27%

Asia	Last	Day	Week
Nikkei 225 (Japan)	63,081.86	-0.33%	+1.43%
CSI 300 (China)	4,008.87	–	–
Hang Seng (Hong Kong)	23,393.32	+0.42%	+0.78%
KOSPI (South Korea)	5,859.08	+2.24%	+7.12%
Taiex (Taiwan)	44,920.14	-0.65%	-2.44%
Nifty 50 (India)	23,440.80	+1.68%	+3.02%

Rates	Last	Day	Week
US 10Y yield (%)	4.9520	+1.19%	-0.82%
US 2Y yield (%)	4.7500	–	–

Currencies	Last	Day	Week
EUR/USD	1.1207	+0.13%	+0.69%
EUR/GBP	0.8341	-0.06%	-0.24%
EUR/CHF	0.9183	+0.24%	-0.43%
EUR/CNY	7.4745	+0.45%	+0.75%
US Dollar Index (DXY)	101.89	+0.14%	-0.42%
USD/JPY	158.54	+0.39%	+0.34%
USD/CNH	6.6665	–	–
USD/RUB	81.35	+0.13%	+1.00%
USD/INR	94.73	-0.19%	-0.48%
USD/BRL	5.4363	+0.02%	+1.19%
USD/TRY	50.01	+0.05%	+0.42%
Bitcoin ($)	77,294.08	+0.80%	-0.62%

Commodities	Last	Day	Week
Brent ($/bbl)	104.18	-0.56%	-8.52%
WTI ($/bbl)	96.64	+0.19%	-3.26%
Dutch TTF gas (EUR/MWh)	92.07	–	–
Gold ($/oz)	3,946.80	-0.57%	-3.14%
Silver ($/oz)	49.90	-1.62%	-8.09%
Copper ($/lb)	6.4105	-2.03%	-3.19%
Wheat (c/bu)	598.75	-1.28%	-1.88%

Delayed exchange quotes, last daily close (Yahoo Finance). Prices, not policy facts.

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